

Personal Financial Planning Policy

Profile: Rahul Sharma • Guidelines 2026–2027

Doc ID: FP-2026-2027-001
Status: Active

Profile Name: **Rahul Sharma**

Policy Period: **2026–2027**

1. EMERGENCY FUND POLICY

- Cover 4 to 6 months of essential expenses.
- Includes EMI, utilities, groceries, insurance, transport.
- Maintain in highly liquid, low-risk instruments.

3. DEBT MANAGEMENT POLICY

- Prioritize high-interest debt before aggressive investing.
- Maintain minimum payments on all active loans.
- Build emergency fund before extra debt prepayments.

5. ANNUAL BONUS POLICY

- Treat bonus as non-guaranteed variable income.
- Allocation: 40% debt, 30% investments, 20% emergency, 10% discretionary.

2. MONTHLY SAVINGS TARGET

- Minimum monthly target: 20% of take-home income.
- Based on ₹1,37,500 take-home: ~₹27,500/month.
- Increase target when discretionary spending drops.

4. CREDIT CARD POLICY

- Pay credit card balances in full every month.
- Avoid minimum-only payments to prevent heavy interest.
- Monitor credit utilization ratio regularly.

6. INVESTMENT & COACH POLICY

- Consider horizon, risk tolerance, debt, and liquidity.
- AI Financial Coach references this policy for advisory guidance.